A One-Off European Wealth Tax

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The repayment of NextGenerationEU, the financing of the green transition and the rearmament of the continent have created a structural need for credible new own resources. This annex argues that an exceptional, one-off tax on large individual wealth is one of the most attractive candidates to meet that need. It is fair, because large fortunes are today taxed at effective rates well below those borne by ordinary households (Zucman, 2024); it is popular, since roughly two thirds of European citizens support a tax on the very wealthy (EU Tax Observatory, 2025); and it is fiscally material, capable of raising about EUR 23 billion per year in its central scenario—and more if the very top is priced on rich-list rather than survey data—while remaining, by design, non-distortive.

The proposal deliberately avoids the pitfalls that have historically undermined recurrent wealth taxes. It is a *one-off* levy, assessed on wealth held on a single reference date (1 January 2027) and spread over thirty years. Because the tax base is fixed in the past, it cannot be avoided by future emigration, by holding back investment, or by discouraging entrepreneurship: the entrepreneur who creates value after 2027 owes nothing on that new value. The rates are low—between 0.1% and 0.5% of wealth per year in the central scenario—so that they can be paid out of the normal return on capital rather than by liquidating productive assets. And liquidity concerns are addressed head-on: taxpayers may defer payment, pay in listed shares, and, in genuinely illiquid cases, pay in kind, in exchange for attaching their assets to a Deferral Account that the State recovers on death or emigration outside the EU.

The intellectual lineage of the proposal is explicit. It adapts the deferral and in-kind mechanisms designed for the Californian wealth-tax bill (California State Legislature, 2023), the low-rate one-off logic of Pisani-Ferry and Mahfouz (2023), who recommended an exceptional levy of 5% of GDP spread over thirty years to finance the climate transition, and the coordinated minimum-tax architecture developed for the G20 by Zucman (2024). Unlike the recurrent net-wealth taxes still levied in Spain, Norway and Switzerland, and unlike the abolished taxes of Germany, France and other Member States, the present proposal is designed from the outset to survive the constitutional and behavioural objections that sank its predecessors.

The remainder of this annex sets out the proposal in detail (Section 1), provides country-by-country revenue estimates (Section 2), describes how the tax would interact with the wealth taxes that already exist in the EU (Section 3), responds to the main objections, including those recently raised by Antoine Lévy and Sylvain Catherine (Section 4), and briefly lists possible variants left for future work (Section 5).

Appendix

1 Proposal

1.1 A one-off tax, payable over thirty years

We propose a one-off tax on individual net wealth, assessed on the wealth each resident holds on 1 January 2027. The tax is strictly individual: wealth is attributed to natural persons, with couples assessed on their respective shares, so as to avoid the marriage penalties and avoidance opportunities associated with household-level assessment.

The headline schedule is a one-off liability of 3% on the fraction of individual wealth above EUR 1 million, 7.5% above EUR 10 million, and 15% above EUR 100 million. This liability is not due immediately. It is spread over thirty years, so that in any given year the taxpayer owes, in the central scenario, 0.1% of wealth above EUR 1 million, 0.25% above EUR 10 million, and 0.5% above EUR 100 million—one thirtieth of the total each year. These annual rates are deliberately calibrated below the long-run real return on capital, so that the tax can in principle be paid out of the income the wealth generates, leaving the principal intact.

The one-off character is the central design choice. A permanent wealth tax changes the incentive to accumulate, to invest and to remain resident on an ongoing basis; the empirical literature finds that such taxes can generate sizeable behavioural responses, from portfolio reshuffling to migration (Brülhart et al., 2022; Durán-Cabré et al., 2019). A one-off tax assessed on a past reference date is, by construction, a lump-sum tax: it does not distort decisions taken after the reference date, because no future choice can change the liability. This is the classical efficiency argument for capital levies, and it is the reason Pisani-Ferry and Mahfouz (2023) favoured an exceptional rather than a recurrent instrument.

1.2 Payment, deferral and the annual minimum

Each year, the taxpayer must pay the *smaller* of two amounts: (i) one thirtieth of their initial liability, indexed to inflation and increased by a deferral penalty; or (ii) the annual schedule (0.1% / 0.25% / 0.5%) applied to their *current* wealth. The second option protects taxpayers whose wealth has fallen: someone who has become poorer since 2027 pays less, in line with their ability to pay. The tax ceases to be owed after thirty years, or earlier if the taxpayer settles their remaining liability in full.

The deferral penalty reflects the fact that postponing payment is equivalent to borrowing from the State at a rate that should not be below the return the taxpayer earns on the deferred sum. We set it at 3% per year for the tax due above EUR 1 million, 5% above EUR 10 million and 7% above EUR 100 million. These figures are aligned with the empirically documented gradient of returns to wealth: larger portfolios earn systematically higher average returns, a regularity documented across countries and central to the dynamics of wealth concentration (Chancel et al., 2022). Aligning the penalty with the return on capital ensures that deferral is neither a subsidy to the wealthy nor a confiscatory charge, and removes the incentive to game the timing of payments.

1.3 Payment in kind

Liquidity is the objection most often raised against wealth taxes. The proposal neutralises it through a graduated set of payment options. First, the administration accepts payment in non-cash liquid assets, in particular shares in listed companies, valued at market price on the day of transfer. A taxpayer whose wealth consists mainly of a quoted equity stake can therefore discharge the tax without selling on the market and without any cash outlay. Second, on a case-by-case basis, the administration may accept payment in illiquid assets—such as shares in non-listed companies—to the extent that the taxpayer's liability exceeds their liquid assets. This mirrors the logic of the Californian bill, which allowed liquidity-constrained taxpayers holding designated highly illiquid assets (typically start-up equity) to attach a claim to those assets rather than face an immediate cash assessment (California State Legislature, 2023).

Payment in shares has an important corollary for the objection that a wealth tax penalises young, capital-intensive firms relative to established ones (Section 4). Because the founder of a start-up can hand over a fraction of their shares rather than cash, the tax does not force the sale of the company or the dilution of control through a fire sale, and it does not require the firm to distribute dividends it cannot afford.

1.4 Deferral Accounts

Unless they settle their entire liability in the first year, taxpayers must open a Deferral Account (DA)—a contract with the State to which they attach assets of sufficient value. The DA has three functions. It secures the State's claim: the outstanding liability is recovered when the taxpayer dies or moves their tax residence outside the EU, whichever comes first, and the account is closed only once the tax has been paid in full. It supports the payment-in-kind mechanism, since attached assets can be realised to discharge the debt. And it provides the enforcement backbone against emigration: because the liability crystallises on exit from the EU, relocating after the 2027 reference date does not extinguish the tax, which sharply limits the fiscal-flight response that has undermined recurrent national wealth taxes.

A missing payment triggers a penalty equal to inflation plus 10% per year on the overdue amount. This penalty accrues within the DA and is ultimately recovered when the attached assets are sold or generate dividends, so that non-payment is costly but never forces an immediate liquidation crisis. The combination of low annual rates, deferral, payment in kind and asset-backed recovery is what makes the tax simultaneously enforceable, non-distortive and respectful of taxpayers' liquidity constraints.

2 Revenue estimates

2.1 Method and assumptions

Revenue is estimated by microsimulation on the wealth distributions of the World Inequality Database (WID), the data underlying the WID World Wealth Tax Simulator. All four brackets are computed from the same source, so that the estimates are internally consistent and reproducible from a single dataset.

We work from the tabulation underlying the WID Global Wealth Tax Simulator, which reports, for each Member State and year, the total net wealth and the number of individuals above a grid of wealth thresholds (EUR 1, 2, 5 million, and so on up to EUR 100 billion), already expressed in euros. Using the 2023 values, we apply the marginal schedule exactly: the tax due at a single marginal rate on a wealth band $[A, B)$ equals the rate times $W(A) - W(B) - A\,N(A) + B\,N(B)$, where $W(t)$ and $N(t)$ denote total wealth and headcount above threshold t; the open-ended top brackets use $W(A) - A\,N(A)$. The eleven smaller Member States absent from the simulator's dataset are filled in, for the two lower brackets, from the equivalent WID distributional-national-accounts tabulations; their combined contribution is below EUR 0.2 billion, and they contribute nothing to the upper brackets, which the simulator does not cover for them.

One important caveat attaches to the upper brackets. Tabulated fiscal-and-survey data (distributional national accounts, DINA) systematically understate the extreme top: the WID data put the wealth of the top 0.001% of French adults at about EUR 0.7 trillion, barely more than the EUR 0.7 trillion that Forbes attributes to France's 147 billionaires alone. The figures reported here therefore *understate* the yield of the EUR 100 million and EUR 1 billion brackets. A "billionaire-gap" correction that reprices those two brackets on Forbes-based data from the EU Tax Observatory (2025), using the billionaire-to-centi-millionaire multiplier of Zucman (2024), would roughly double the top bracket—raising the stand-alone 2% billionaire levy from about EUR 19 billion to about EUR 33 billion, and the top-heavy variant from about EUR 28 billion to about EUR 45 billion. We report the conservative, single-source estimates in Table 1 and flag the correction rather than applying it.

All figures incorporate two haircuts: a 15% depreciation of the base (valuation discounts and asset-price erosion) and a 20% reduction for evasion and avoidance. All figures are annual, in millions of euros, and correspond to the annual instalment of the one-off tax (one thirtieth of the total liability). Columns a, b, c and d report, respectively, a 0.1% rate above EUR 1 million, a 0.25% rate above EUR 10 million, a 0.5% rate above EUR 100 million, and a 2% rate above EUR 1 billion; the central scenario is the sum of the first three columns ($a + b + c$), shown both in euros and as a share of 2023 GDP, and the last column reports the top-heavy variant ($c + d$) combining the 0.5% and 2% brackets.

2.2 Results

Table 1: Estimated annual revenue of a one-off wealth tax, by EU Member State (EUR million per year; 15% depreciation and 20% evasion assumed). The GDP column reports annual central revenue as a share of 2023 GDP; over the thirty-year horizon the cumulative central levy is about thirty times as large.

Country	a 0.1%>1M	b 0.25%>10M	c 0.5%>100M	d 2%>1G	Central (a+b+c)	Central % GDP	Top (c+d)
Germany	2,870	2,119	2,440	4,671	7,429	0.18%	7,111
France	1,877	1,080	3,104	8,293	6,061	0.22%	11,397
Italy	1,108	351	935	1,249	2,394	0.11%	2,184
Spain	801	340	815	1,326	1,957	0.13%	2,141
Netherlands	551	85	207	172	842	0.08%	378
Austria	278	225	317	791	821	0.17%	1,108
Belgium	471	29	175	496	674	0.12%	671
Sweden	245	110	294	780	648	0.13%	1,074
Poland	159	154	184	160	496	0.07%	344

Table 1 – continued

Country	a 0.1%>1M	b 0.25%>10M	c 0.5%>100M	d 2%>1G	Central (a+b+c)	Central % GDP	Top (c+d)
Denmark	187	114	177	415	479	0.13%	593
Czechia	70	34	216	461	321	0.10%	677
Ireland	232	11	66	65	310	0.06%	132
Portugal	176	85	33	45	294	0.11%	77
Hungary	50	48	88	8	186	0.09%	95
Finland	55	10	77	79	141	0.05%	156
Romania	37	29	43	19	108	0.03%	62
Luxembourg	48	28	0	0	75	0.09%	0
Greece	51	15	0	0	66	0.03%	0
Slovenia	14	14	0	0	28	0.04%	0
Croatia	15	10	0	0	24	0.03%	0
Bulgaria	11	12	0	0	23	0.02%	0
Lithuania	12	8	0	0	19	0.03%	0
Estonia	12	6	0	0	19	0.05%	0
Slovakia	9	6	0	0	15	0.01%	0
Latvia	8	6	0	0	14	0.03%	0
Cyprus	9	2	0	0	11	0.03%	0
Malta	7	0	0	0	7	0.03%	0
EU-27 total	**9,362**	**4,930**	**9,170**	**19,031**	**23,463**	**0.14%**	**28,201**

The central scenario—the three low brackets combined—raises about EUR 23 billion per year for the EU, or close to EUR 700 billion over the thirty-year horizon. This is on the order of 4% of EU GDP, in the range of the 5%-of-GDP benchmark independently proposed by Pisani-Ferry and Mahfouz (2023), and comparable to the annual servicing cost of the EU's common NextGenerationEU debt. Revenue is highly concentrated: Germany and France together account for more than half of the central total, and the top five countries (adding Italy, Spain and the Netherlands) generate around 80% of the total. Germany leads the central scenario on the strength of its broad upper-middle wealth (the EUR 1 and EUR 10 million brackets), while France leads on the upper brackets. The top-heavy variant (columns c and d) raises about EUR 28 billion per year but concentrates the burden on a few thousand centi-millionaires and the EU's billionaires.

As noted above, these upper-bracket figures are conservative: applying the 2% rate to the simulator's own distributional data yields about EUR 19 billion from the billionaire bracket, whereas the same rate on Forbes-based billionaire wealth would give about EUR 33 billion. Correcting for this "billionaire gap" would raise the central scenario to roughly EUR 27 billion and the top-heavy variant to about EUR 45 billion. We prefer to report the single-source, conservative estimates and to flag the correction, so that every figure in Table 1 derives from one internally consistent dataset.

Two further caveats should be flagged. First, the estimates are deliberately conservative on other margins too: the 15% depreciation and 20% evasion assumptions are large. Second, the numbers are static: they abstract from behavioural responses, which for a one-off tax assessed on a past date should be small (Section 4). All figures are reproduced by the script `wealth_revenue.R` accompanying this annex, which reads the WID Global Wealth Tax Simulator dataset; the optional billionaire-gap correction is included in that script but left disabled.

3 Interaction with existing taxes

The proposed levy would be *additional* to, not a substitute for, the taxes Member States already apply to wealth. Three EU countries currently operate a recurrent net-wealth tax, and several others tax selected components of wealth. Table 2 summarises the recurrent net-wealth taxes in force in Europe.

Table 2: Recurrent net-wealth taxes in Europe (2025).

Country	Schedule and threshold	Base	Revenue
Spain	Progressive, 0.16%–3.5% above EUR 700,000 (regional; Madrid, Andalusia and others grant 100% relief). Central "solidarity" tax of 1.7%–3.5% above EUR 3 million since 2022, made indefinite in 2023.	Worldwide net wealth of residents; Spanish assets of non-residents.	EUR 3.1 bn (≈0.21% of GDP).
Norway (non-EU)	1% above NOK 1.7 m (≈EUR 146,000); 1.1% above NOK 20 m. Split between municipalities (0.7%) and State (0.3%).	Worldwide net wealth.	EUR 2.7 bn (≈1.5% of tax revenue).
Switzerland (non-EU)	Cantonal, typically starting around 0.05% from CHF 80,000–160,000; rates and thresholds vary by canton.	Worldwide net wealth (excl. foreign real estate).	EUR 9.5 bn (≈1.16% of GDP).

Within the EU, only Spain levies a comprehensive recurrent net-wealth tax. France abolished its general wealth tax (ISF) in 2018 and replaced it with a narrower tax on real-estate wealth (IFI), levied at 0.5%–1.5% on net property assets above EUR 1.3 million. Several Member States tax particular asset classes—notably real estate through recurrent property taxes, and, in the Netherlands, a notional return on savings and investments (the "Box 3" regime). Belgium levies a tax on securities accounts. Norway and Switzerland, outside the EU but often cited as models, demonstrate that a broad-based recurrent wealth tax can coexist with a competitive open economy over the long run.

Because the proposed tax is one-off and assessed on a fixed past date, it does not overlap in economic logic with these recurrent taxes: the recurrent taxes fall on the flow of holding wealth over time, whereas the one-off levy is a single charge on the stock held in 2027. Where a taxpayer is simultaneously liable to a national recurrent wealth tax (for instance the Spanish solidarity tax or the French IFI), the two can be credited against each other only to the extent Member States choose; the baseline proposal treats them as cumulative, since their combined annual burden (well under 3% of wealth even in the most heavily taxed cases) remains below the return on capital and therefore within the bounds courts have treated as non-confiscatory (Section 4).

4 Responses to main objections

4.1 Liquidity

The most common objection is that wealthy taxpayers, though rich on paper, may lack the cash to pay. The design answers this on three levels: the annual rate is low (0.1%–0.5% of wealth, payable out of normal capital income rather than principal); payment can be deferred over thirty years through a Deferral Account; and payment can be made in listed shares or, in illiquid cases, in kind. Empirically, liquidity is rarely binding at these rates: a 2% annual charge, four times the top rate here, is already below the average return on large portfolios (EU Tax Observatory, 2025; Chancel et al., 2022). The combination of low rates and deferral therefore dissolves the liquidity objection.

4.2 Harm to start-ups relative to established firms

A related concern is that a wealth tax bears more heavily on the founders of young, cash-poor firms than on the owners of mature, dividend-paying companies, because the former cannot easily generate the cash to pay. The payment-in-shares option is the direct remedy: a founder can discharge the liability by transferring a fraction of equity rather than by extracting cash from a firm that needs to reinvest it. The Deferral Account reinforces this, allowing the liability to sit against the illiquid stake until a liquidity event (a sale, an IPO, or a dividend) occurs (California State Legislature, 2023). The one-off nature of the tax further protects entrepreneurship: only wealth accumulated by 2027 is taxed, so the returns to founding and growing a company after that date are untouched.

4.3 Reduced investment

A wealth tax could in principle reduce private investment by lowering the after-tax return to capital. This concern has much less force here for two reasons. First, the tax is one-off and backward-looking, so it does not alter the marginal return on any investment decided after 2027. Second, and decisively, the revenue is earmarked to a European sovereign wealth fund: euros withdrawn from private portfolios are re-invested, not consumed, so the aggregate capital stock is preserved and the composition merely shifts from private to collective ownership. The fund's returns are designed to more than cover the servicing of the common debt, turning a one-off levy into a permanent public asset.

4.4 Deterring entrepreneurs

The claim that wealth taxes deter entrepreneurship applies to *recurrent* taxes that repeatedly claw back the fruits of success. It does not apply to a one-off tax on a past stock. An entrepreneur contemplating a new venture in 2028 faces no wealth-tax consequence from success, because the reference date has passed. The incentive to create, take risks and build is therefore left intact, which is precisely why Pisani-Ferry and Mahfouz (2023) and the classical public-finance literature on capital levies favour exceptional over permanent instruments.

4.5 Fiscal flight and the Lévy–Catherine critique

The sharpest recent objections come from Antoine Lévy (UC Berkeley) and Sylvain Catherine (Wharton), who, together with a group of economists, contested the revenue estimates of the

"Zucman tax" in France. Their arguments are of three kinds. First, that a large share of the apparent tax base consists of retained earnings inside holding companies that have already borne corporate income tax, so that a wealth tax amounts to double taxation and its true net yield is far smaller than advertised—on their reading, closer to a few billion than to EUR 20 billion for France. Second, and most prominently in Lévy's public thread, that behavioural responses—above all fiscal exile of the very wealthy—would turn the measure into a *net loss* for public finances, which he provocatively quantifies at EUR 30 billion (Lévy, 2025). Third, that the valuation of unlisted and illiquid assets is arbitrary and open to manipulation.

Our design answers each point. On *double taxation*, the objection conflates a tax on income flows with a tax on a wealth stock; a one-off levy on the stock held in 2027 is levied once, at a low rate, and does not recur on the same retained earnings year after year. On *fiscal flight*, the Lévy critique is fundamentally a critique of a *permanent* tax, whose base can walk out of the country every year. A one-off tax assessed on residence at a fixed past date cannot be escaped by subsequent emigration, and the Deferral Account crystallises the liability on exit from the EU, so the migration elasticities that drive Lévy's "net loss" figure do not bite. The empirical migration responses documented for recurrent taxes (Brülhart et al., 2022; Durán-Cabré et al., 2019) therefore overstate the leakage of a one-off levy by a wide margin. It is also worth noting that the debate is far from settled among economists: the note of the Conseil d'analyse économique (2025) finds that wealth taxation accelerates the fiscal exile of top earners only marginally, with no notable macroeconomic consequence, and Olivier Blanchard, among others, has publicly defended the feasibility of taxing the very wealthy. On *valuation*, the payment-in-kind option turns the difficulty into a safeguard: a taxpayer who claims their unlisted shares are worth little may settle the tax by handing over those very shares at their self-declared value, which sharply curbs the incentive to understate.

4.6 Constitutionality

Whether a wealth tax is constitutional depends on the jurisdiction, and the history is instructive. In Germany, the Federal Constitutional Court suspended the wealth tax in its 1995 decision (2 BvL 37/91), not because wealth taxation is inherently unconstitutional, but because real estate was valued far below market while financial assets were valued at market, violating the equality principle of the Basic Law; the same decision suggested that the combined burden of wealth and income tax should not exceed roughly half of income (Bundesverfassungsgericht, 1995). A uniformly valued, low-rate one-off tax avoids the specific defect that felled the German tax. In Spain, the Constitutional Court *upheld* the central solidarity wealth tax in December 2023 against challenges from several regions, confirming that a well-designed wealth tax is compatible with the Spanish constitution (Tribunal Constitucional de España, 2023). In the Netherlands, the Supreme Court struck down the Box 3 regime in 2021 and again subsequently (Hoge Raad der Nederlanden, 2021), but the defect was specific: the law taxed a *notional* return that could exceed the real return, breaching the right to property; a tax on actual wealth, with an ability-to-pay safeguard, does not share this flaw. In France, the Conseil constitutionnel has repeatedly upheld wealth taxation (the ISF and later the IFI) provided the overall burden is not confiscatory—a standard the low annual rates proposed here comfortably meet.

At the European level, Article 1 of Protocol No. 1 to the European Convention on Human Rights protects the peaceful enjoyment of possessions but explicitly permits States to levy taxes, subject to a "fair balance" between the general interest and the individual burden; the Court finds a violation only where the charge is disproportionate or confiscatory. A one-off tax at rates of

0.1%–0.5% of wealth per year, with an ability-to-pay ceiling (the taxpayer never owes more than the schedule applied to current wealth) and deferral options, sits well within this margin. The recurring constitutional theme across jurisdictions is that wealth taxes fail when they value assets unequally, tax fictitious returns, or become confiscatory—never simply because they tax wealth. The present design is built to avoid all three failure modes.

5 Possible variants

Several variants are compatible with the architecture above but are left for future work and not developed here: (i) converting the one-off levy into a *permanent* recurrent wealth tax; (ii) applying *higher rates*, closer to the top-heavy scenario of Table 1 or to the 2%–3% minimum-tax proposals of Zucman (2024); (iii) pairing the wealth tax with a reform of *inheritance taxation*, which reaches the same tax base at the point of transmission; and (iv) allocating the revenue to general *government spending* rather than to a sovereign wealth fund. Each of these would change the efficiency, distributional and political properties of the instrument and deserves separate analysis.

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